Portland Public Schools
Community Budget Review Committee
July 9, 2026

Local Option Levy Review

Overview

The Community Budget Review Committee (CBRC) conducted its annual review of Portland Public Schools' (PPS) expenditures of Local Option Levy (Levy) funds using data provided to the CBRC by PPS. Renewed in May 2024 through Measure 26-246, the Levy requires independent community oversight to ensure that funds are used for their intended purposes.

This review includes actual revenue and expenditures from 2024–25 and projected figures for 2025–26, along with trend data through 2026–27.

The Local Option Levy is a vital funding source for PPS, projected to account for 12.1 percent of the General Fund's resources in the 2026–27 school year. As a property tax based on assessed value, Levy revenue is shaped by real market conditions within the PPS taxing district and constrained by Measure 5 tax limits, also known as compression. While revenue from the Levy has generally increased from $97.4 million in 2019–20 to a projected $103.9 million in 2026–27, the CBRC understands that rising personnel costs have significantly reduced the number of teachers that can be funded with this revenue.

The CBRC examined how Levy funds support the three voter-approved goals:

- Maintain class sizes and prevent significant increases across the district.
- Provide a well-rounded education, including career and technical programs and enrichments and electives, and classroom support.
- Fund approximately 660 teachers and classroom support staff annually.

The Levy is also designed to help support teaching positions and classroom support at every school in the district. Levy funds intend to play a critical role in PPS's ability to provide stable staffing and academic offerings. They seek to support:

- Smaller class sizes than would be possible through state funding alone.
- Career and technical education (CTE), STEM, and computer science instruction.
- Enrichments and electives that contribute to a well-rounded education.
- Academic supports such as reading specialists and intervention staff.
- Staffing allocations across every PPS school, maintaining equitable access.

Findings

Based on the data and information provided by PPS, and without independent verification by the CBRC of the source materials, the CBRC makes the following findings:

First, the CRBC finds that in the prior year 2024-25, and the current year 2025-26, all Levy funds were and are being spent on teaching positions as approved by voters.

Second, with respect to the use of Levy funds for maintaining teaching positions, as of May 2026, PPS is projecting $104.4 million in revenue from Multnomah, Washington, and Clackamas Counties for current year 2025-26. Based on PPS's historical projections, 2025-26 receipts, and an average teacher cost of $152,000 (inclusive of salary, taxes, and benefits), Levy funds are expected to support approximately 686 teaching positions for 2025-26. Last year, the Levy funded 741 teachers.

Third, with the help of Levy funding, PPS has been able to maintain smaller class sizes than would be the case with state funding alone.

Fourth, effective with the 2013-14 fiscal year, PPS established a procedure adopted for federal stimulus funds and which was acceptable to the federal government whereby Levy funds are placed in a "sub-account" within the General Fund and can only be used to pay teachers' salaries and benefits. This provision was written into Measure 26-207's Explanatory Statement and is part of the current Levy language. The CBRC finds that the Levy funds for 2025-26 have been deposited into this sub-account.

Finally, the Levy language continues to require independent community oversight to ensure that tax dollars are used as approved by local voters. The CBRC finds that the PPS Board of Education properly appointed the CBRC as the community oversight body to perform this function.

Local Option Levy Trends

The CBRC notes that due to rising personnel expenses and decreased revenue, the number of teachers supported by Levy funding is expected to decline, perhaps by as much as 25% in the next five years.

Additional Remarks

The CBRC would like to take this opportunity to thank the voters for approving this vital funding source for Portland Public Schools, which helps ensure that our students continue to receive benefits from additional teachers, lower class sizes, and enriched classroom offerings afforded as a result of the Local Option Levy. The Local Option Levy helps mitigate the state's inability to adequately fund K-12 education.

The following CBRC members respectfully submit this report to the PPS Board of Education:

Current Members:

Minyana Bishop
Angela Bonilla (Vice Chair)
Anne Cherry
Shain Corey
Karanja Crews (Co-Chair)
Rhonda Gray
Andy Jacob
Julia Plowman
Shannon Staley

The following members participated in the process. Due to the expiration of their terms, they were unable to cast a vote:

Aaron Cronan
Jen Grey-O'Connor
Adriel Person (Co-Chair)
Jiaying (Sirena) Chen (Student Member)
Emma Lee (Student Member)
Eli Posada (Student Member)
Keira Toll (Student Member)
Paxton Tomczyk (Student Member)